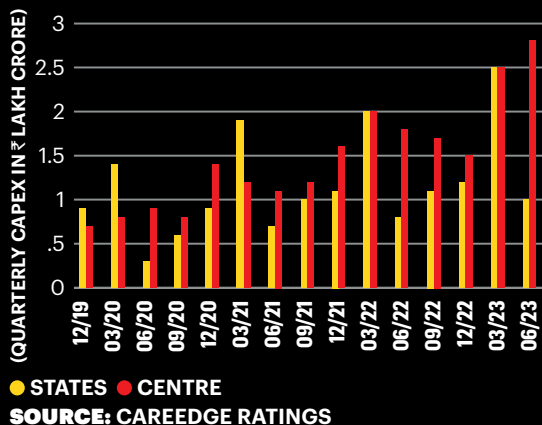


ROBUST NUMBERS

► **WITH A CAPEX BUDGET OF ₹10 LAKH CRORE FOR FY24, CENTRE KEEPS FOCUS ON SPENDING**

► **ADDITIONALLY, STATES ARE MAINTAINING THEIR PACE OF CAPEX**



adding that further reforms such as ensuring energy security, power sector reforms or addressing the skilling and education challenges have the potential to boost growth further. (For his full interview, turn to page 54)

Finance Secretary T.V. Somanathan says growth will be around 6 per cent due to strong domestic demand and capex. "India's domestic demand is going to be strong, and therefore, I think we will be close to our expected growth targets. I would not like to pick an exact number, but [it will be] in the range of 6 per cent," he tells BT.

However, despite an upward revision by some agencies in their GDP estimates, most remain lower than the official forecast. Morgan Stanley has pegged GDP growth at 6.4 per cent in FY24 from its previous 6.2 per cent, while Nomura has raised it to 5.9 per cent from 5.5 per cent. But all agree that economic growth may have hit a peak in the first quarter and is set to slow down in the coming months. The Reserve Bank of India has projected a sequential slowdown from 8 per cent in Q1 to 6.5 per cent in Q2, 6 per cent in Q3 and 5.7 per cent in Q4.

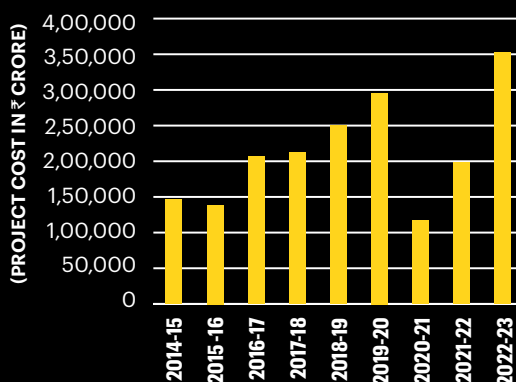
D.K. Srivastava, Chief Policy Advisor at EY India and a member of the Fourteenth Finance Commission, notes that the 7.8 per cent growth is slightly lower than the RBI's estimate and it will have to catch up in the next quarters to match the 6.5 per cent full fiscal target. "Our estimate is 6.2-6.3 per cent for the fiscal year. PMI is doing well. Manufacturing and services are gaining traction. The only challenge is the contraction in exports," he says. The low nominal GDP growth of about 8 per cent and subdued tax buoyancy of less than one in the first three months of the fiscal are a concern. "The Centre may have to either increase its fiscal deficit or

BRIGHT SPOTS

PRIVATE SPENDING UP

► **BANKS AND FINANCIAL INSTITUTIONS PROVIDED ASSISTANCE OF ₹2.67 LAKH CRORE TO 547 PROJECTS IN FY23**

► **PICKUP IN PRIVATE CORPORATE CAPEX AUGURS WELL FOR GFCF***

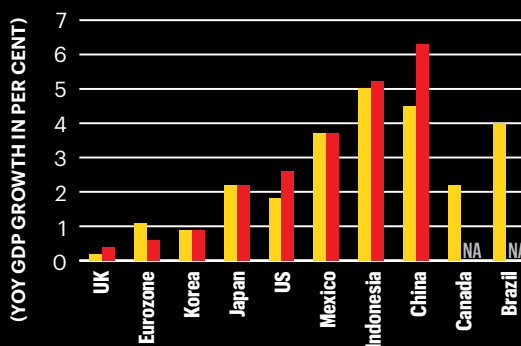


*GROSS FIXED CAPITAL FORMATION
SOURCE: INDIA RATINGS, RBI

GLOBAL GROWTH DIVERGES

► **THE US, THE UK AND CHINA HAVE REGISTERED GROWTH**

► **HIGH INTEREST RATES, INFLATION COULD KEEP MANY ECONOMIES IN SLOWDOWN**



● Q1 2023 ● Q2 2023; NA: NOT AVAILABLE;
SOURCE: QUANTECO RESEARCH